

Morning Briefing — Monday 7 September 2026

Generated 07 Sep 2026 • 06:20 BST (London, UTC+1) • Data collected 05:00-06:20 BST • Note: UK/EU markets trade normally today. **US markets and bond market are closed for Labor Day** — "yesterday" figures below refer to Friday 4 September 2026, the last trading session.

2. IMPORTANT NEWS

US strikes destroy/disable three Iranian oil tankers after IRGC missile attack on US carrier group

[NPR](#) / [Al Jazeera](#) / [CBS News](#) • [strikes 5 Sep](#), [developing over weekend](#)

US forces hit tankers near Kharg Island, in the Gulf of Oman and near Jask after Iran's Revolutionary Guard launched ballistic missiles at a US carrier and destroyer. Iran has vowed a "more painful" response. Strait of Hormuz transits remain well below pre-war levels (~102/week vs 130+/day pre-conflict). This is the dominant market driver this morning: oil bid, tanker/defense stocks bid, risk-off pressure on duration-sensitive assets offset by resilient European equity futures.

Brent near \$95-97/bbl, extending gains as Iran conflict drags on

[Reuters](#) / [CNBC](#) • [overnight/Monday morning](#)

Brent up over 45% versus a year ago pre-conflict. Sustained energy-price pressure complicates the inflation picture for both the Fed and the ECB just as the Fed's September 15-16 meeting comes into view with rising odds of a hike rather than a cut.

US August payrolls smash forecasts: +162,000 vs ~53,000 expected; Fed hike odds jump above 60%

[CNBC](#) / [Babypips](#) / [Housingwire](#) • [released Friday 4 Sep](#)

Unemployment held at 4.1%, average hourly earnings +0.3% MoM / +3.1% YoY. CME FedWatch-style pricing moved to ~60-65% odds of a 25bp hike at the 15-16 September FOMC, up from ~55% before the report. US equities fell and yields rose on the print (S&P 500 -0.38%, 10Y +to ~4.76%).

Fed Chair Kevin Warsh's Jackson Hole speech (28 Aug) reads hawkish in hindsight

[CNBC](#) / [Federal Reserve Board](#) • [speech 28 Aug](#), [still driving repricing](#)

Warsh said summer inflation readings "do not tell me that underlying trends have meaningfully improved" and avoided forward guidance, which markets read as leaving the door open to a hike. Combined with Friday's strong jobs report, rate-hike odds for 16 September have continued to climb through the weekend.

Eurozone Sentix investor confidence drops sharply to -9.2 in September from -3.7 in August

[Sentix](#) / [FXStreet](#) • [released this morning, 07 Sep](#)

Current situation sub-index fell to -18.8 from -13; expectations to 0.8 from 6.0. Sentix cites tariff-deal pressure on export-oriented industry and no sign of an autumn recovery. First hard data point of the week and a mild negative surprise for the eurozone growth narrative just as futures point to a firmer open.

3. EUROPEAN FUTURES (PRE-OPEN)

CONTRACT	LEVEL	EXPECTED MOVE	COLLECTION TIME
Euro Stoxx 50 (FESX)	~6,564	+0.32%	~06:00 BST
DAX (FDAX)	n/a exact level	+0.27%	~06:00 BST
CAC 40 (FCE)	n/a exact level	+0.24%	~06:00 BST
FTSE 100 (Z)	n/a exact level	+0.20%	~06:00 BST
US context — note: US cash and futures markets closed today for Labor Day			
S&P 500 e-mini	n/a	Market closed (Labor Day)	—
Nasdaq 100 e-mini	n/a	Market closed (Labor Day)	—

All four European benchmarks indicated modestly higher at the open, a mildly constructive tape given the weekend's Iran escalation. With US cash, futures and bond markets shut for Labor Day, European trading today is likely to be lower-volume and more headline-driven than usual, with oil and defense/shipping names doing most of the directional work. Exact index-point levels for DAX/CAC/FTSE futures were not confirmed via public sources this morning; only percentage moves (First Squawk) were available.

4. YESTERDAY'S CLOSES — EUROPEAN INDICES (FRIDAY 4 SEPTEMBER 2026)

INDEX	CLOSE	CHANGE
Euro Stoxx 50	6,379	+0.27%
DAX 40	26,008	+0.65%
CAC 40	8,286	+0.07%
FTSE 100	10,832	+0.70%

All four indices closed higher Friday despite the stronger-than-expected US jobs print and rising Fed hike odds, with FTSE 100 (+0.70%) and DAX (+0.65%) leading. CAC 40 lagged (+0.07%), consistent with continued relative weakness in French equities. No European trading session took place over the weekend; today's futures build directly on these levels.

5. US MARKETS — YESTERDAY'S SESSION (FRIDAY 4 SEPTEMBER 2026)

INDEX	CLOSE	CHANGE	NOTE
S&P 500	7,718.60	−0.38%	—
Dow Jones Industrial Average	53,414.25	−0.51%	—
Nasdaq Composite	26,506.99	−0.29%	—

Tone: Risk-off, rates-driven. All three benchmarks fell after the August jobs report (+162,000 vs ~53,000 expected) raised the probability of a 25bp Fed hike on 16 September to roughly 60-65%, pushing the 10-year Treasury yield up toward 4.76%. **Leading/lagging:** energy names generally outperformed on the back of the Brent rally toward \$95-97/bbl and the broader tanker/shipping trade; rate-sensitive growth and duration-heavy sectors lagged as yields rose. **Key takeaway:** a strong labour market is now being read as bad news for equities because it removes the case for easier policy, with the September FOMC decision the next major catalyst. US markets are closed today for Labor Day, so there is no fresh US print to react to before the European open.

6. ASIAN MARKETS — OVERNIGHT SESSION (MONDAY 7 SEPTEMBER 2026)

INDEX	LEVEL / MOVE	CHANGE
Nikkei 225	n/a exact level	+~2%
Topix	n/a exact level	+0.33%
Hang Seng	n/a exact level	--1%
Shanghai Composite / CSI 300	n/a exact level (CSI 300 cited)	+0.19% (CSI 300)
Kospi	n/a exact level	+3.65%
Kosdaq	n/a exact level	+1.08%
ASX 200 (Australia)	n/a exact level	flat

Broadly higher session as investors appeared to look past the US-Iran tanker strikes rather than sell into them. Kospi is the standout (+3.65%), continuing Korea's outsized sensitivity to global risk and the tech/semi cycle. Japan added nearly 2% on the Nikkei. Hong Kong is the odd one out, down roughly 1%, while mainland China (CSI 300) ticked up marginally. Oil-driven inflation risk from the Iran conflict is the main overhang for the region even as equities grind higher.

7. COMMODITIES

COMMODITY	LEVEL	CHANGE	TIME
Brent (ICE, USD/bbl)	~97.30	+1.06%	~06:00 BST
WTI (NYMEX, USD/bbl)	~91.79-92.40 (range)	n/a precise %	overnight range
Gold (XAU/USD, USD/oz)	~4,432.56 (Fri close)	-0.92% (Fri)	Friday 4 Sep close
Natural gas — TTF (EUR/MWh)	~73.5-74	n/a vs prior close	early Sep
Natural gas — Henry Hub (USD/MMBtu)	n/a	n/a	—
Copper (COMEX, USD/lb)	~6.50	holding pullback from \$6.70 ATH (25 Aug)	recent

Oil remains the dominant story: Brent extending gains toward the high-\$90s as the US-Iran tanker exchange threatens further Strait of Hormuz disruption, up roughly 45% year-on-year versus pre-conflict levels. This is the single biggest inflation risk for both the Fed's 16 September decision and the ECB's growth/inflation balance. Gold eased slightly into Friday's close even as geopolitical risk rose, likely reflecting the higher-yield, hawkish-Fed backdrop competing with safe-haven demand. European TTF gas has stayed in a stable €73-74/MWh band, above both its 7-day and 30-day averages. Copper has cooled modestly off its late-August all-time high but remains historically elevated on AI/data-centre and grid demand.

8. RATES & FX

INSTRUMENT	LEVEL	CHANGE	TIME
US Treasury 10Y	~4.76%	Friday close — market closed today	Fri 4 Sep
German Bund 10Y	~3.35%	stabilising near multi-year highs	recent
EUR/USD	~1.1603	range 1.1569-1.1638 last week	as of 6 Sep
GBP/USD	~1.3517	Friday close	Fri 4 Sep
DXY (Dollar Index)	~99.16-99.7	+0.16% (24h)	recent

The US 10Y has climbed toward 4.76% after Friday's hot jobs report cemented higher odds of a Fed hike on 16 September; European long yields have separately hit multi-year highs on Iran-driven inflation fears, keeping the transatlantic spread wide. The dollar is broadly firm (DXY ~99.2-99.7) on the more hawkish Fed repricing following Warsh's Jackson Hole remarks, capping EUR/USD in the 1.15-1.16 area. GBP/USD sits near 1.35 ahead of a busier UK data week. Bond markets are shut in the US today, so cash Treasury levels will not move until Tuesday; European curves will trade on their own drivers, including this morning's weak Sentix print.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES

No confirmed EUR or USD corporate IG/HY, SSA or financials pricings could be reliably sourced for Friday 4 September via public search. Primary activity is typically thin ahead of a US holiday weekend; specific deal terms (issuer, size, maturity, coupon/spread, IPT-to-pricing) require a Bloomberg/IFR/GlobalCapital terminal feed to confirm. Marked n/a rather than estimated.

PIPELINE / EXPECTED TODAY & THIS WEEK

No specific EUR mandates could be confirmed via open sources for today. Historically, the first full week of September is one of the year's heaviest primary windows as issuers return from the summer lull; expect the pipeline to build through the week, skewed toward financials, industrials and SSA. The Iran-driven oil spike is a two-sided catalyst for energy and shipping issuers: elevated commodity prices support credit metrics for producers and tanker owners flush with record freight rates, but also raise all-in funding costs via wider risk premia if volatility persists. Confirm live mandates via IFR/GlobalCapital before pricing decisions.

KEY SPREADS

INDEX	LEVEL (BPS)	MOVE / DIRECTION
iTraxx Main 5Y	n/a today	directionally widening bias reported
iTraxx Crossover 5Y	n/a today (~315-320 as of mid-May, stale)	widening bias — Iran/oil driven
CDX IG 5Y (USD)	n/a today	n/a
Avg EUR corporate IG spread	n/a today	n/a

Exact current iTraxx/CDX levels require Bloomberg Terminal, Markit/IHS or ICE data; only directional commentary ("early signs of widening" per Morningstar, tied to the Iran war) could be confirmed via open sources this morning.

COMMENTARY

Primary market tone heading into the week is cautious-constructive rather than shut: European long yields at multi-year highs and early signs of credit-spread widening reflect the Iran-driven inflation shock, but they follow a strong H1 2026 for EUR issuance and come alongside a wide-open window historically used by industrials, financials and SSA issuers in the first weeks of September. Watch for spread volatility to pick up if oil pushes materially through \$100/bbl or if Iran follows through on its threatened retaliation; a de-escalation, conversely, could reopen the window quickly for energy, transport and shipping names capitalising on strong H1 earnings and record freight/tanker rates.

10. ECONOMIC CALENDAR TODAY (MONDAY 7 SEPTEMBER 2026)

TIME (BST)	ZONE	INDICATOR	CONSENSUS / ACTUAL	IMPORTANCE
08:30 (approx.)	Eurozone	Sentix Investor Confidence — September	Actual: −9.2 (vs −3.7 in August)	MEDIUM
n/a exact time	Germany	Industrial production / trade balance — July/August	Consensus n/a	MEDIUM
n/a	US	No releases — Labor Day, markets closed	—	—

Later this week: US CPI (August) due Thu/Fri; ECB deposit/refi rate decision this week (currently 2.25% / 2.40%)

Today's calendar is thin with US markets shut. The Sentix miss (−9.2 vs −3.7) is the one hard data point so far and points to deteriorating eurozone investor sentiment, with Sentix explicitly flagging tariff-related pressure on export industry. The week's real catalysts are back-loaded: US August CPI (Thursday/Friday) will be the last major data point before the 15-16 September FOMC, and an ECB rate decision is scheduled this week against a backdrop of oil-driven inflation risk from the Iran conflict. Exact German industrial-production release time could not be confirmed via open sources.

11. CORPORATE EVENTS & EARNINGS

COMPANY	MARKET	EVENT	TIMING
Inditex	Madrid (BME)	H1 / Q2 FY2026 results due this week (9 Sep)	This week
Associated British Foods	London (LSE)	Trading update	This week
Rubis	Paris (Euronext)	Results	This week
Savencia	Paris (Euronext)	Results	This week
Oracle / Adobe	US (Nasdaq/NYSE)	Quarterly results (US, later in week; markets closed today)	This week

No major European large-cap results are scheduled specifically for today; the corporate calendar builds through the week, headlined by Inditex's H1 update on Tuesday, a key read on European consumer demand. US corporate calendar (Oracle, Adobe, Kroger) is active later this week once markets reopen Tuesday.

12. STOCKS TO WATCH

Frontline (FRO) — NYSE/ Oslo	Crude tanker rally continues on Hormuz disruption; sector up ~120% YTD on elevated freight rates and longer voyage distances from Iran conflict.	Bullish
DHT Holdings / Nordic American Tankers — NYSE	Part of the ~35-stock shipping basket up ~68% YTD (Lloyd's List Intelligence); direct beneficiaries of the weekend tanker-strike escalation and record freight rates.	Bullish
Rheinmetall (RHM.DE) — DAX	Record €80.4bn order backlog; positioned to help replenish US missile stockpiles used in the Iran war. Renewed escalation this weekend is a fresh catalyst after spring's earnings-driven pullback.	Bullish
Saab (SAAB-B.ST) — Stockholm	European defense name geared to continued Middle East escalation and European rearmament theme; sector had cooled since spring, weekend strikes may revive momentum.	Bullish (moderate)
TotalEnergies (TTE.PA) / Shell (SHEL.L) — CAC/ FTSE	Brent near \$95-97/bbl drives elevated FCF for integrators; asymmetric risk if Iran conflict de-escalates suddenly and oil reverses sharply.	Bullish (oil-linked)
Inditex (ITX.MC) — IBEX	H1/Q2 results due Tuesday 9 Sep; JPMorgan raised price target to €60 ahead of the print. Key read on European consumer resilience.	Watch — pre-earnings positioning
European banks (UniCredit, Deutsche Bank) — various	Have outperformed the "Magnificent Seven" since 2022; higher-for-longer rate environment (Fed hike risk, elevated Bund yields) supports NII. STOXX 600 EPS growth ~14% H1 2026, ~15% forecast FY.	Bullish (rates-linked)
Airlines (IAG, Lufthansa, Air France-KLM) — various	Negatively exposed to sustained Brent strength via jet fuel costs; a key short-side or hedge candidate versus the long-oil trade while the Iran conflict runs.	Bearish (fuel cost)

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

Fed hike odds rising fast: Friday's payrolls beat (+162k vs ~53k) plus Warsh's hawkish-reading Jackson Hole remarks have pushed odds of a 16 September hike to roughly 60-65%, a sharp reversal from earlier cut expectations.

Eurozone sentiment softening: Sentix September reading fell to -9.2 from -3.7, with the current-situation and expectations sub-indices both down, and Sentix explicitly citing tariff-deal drag on exporters.

Oil-driven inflation risk: Brent near the high-\$90s and European long yields at multi-year highs raise the odds of both the Fed and the ECB having to look through, or respond to, an energy-driven inflation impulse rather than a demand-driven one.

CORPORATE

Shipping's historic rally: A 35-stock shipping basket is up ~68% YTD and ~82% over 12 months, with crude tankers leading at +120% YTD, directly tied to the Hormuz disruption.

European bank outperformance: Banks including UniCredit and Deutsche Bank have "considerably outperformed" US mega-cap tech since 2022, with STOXX 600 EPS growth of ~14% in H1 2026.

Defense sector re-rating risk: Rheinmetall and Saab remain up sharply YTD despite a spring correction; renewed Iran escalation is a fresh catalyst to watch this week.

POLITICAL / GEOPOLITICAL

US-Iran tanker war escalation: US destroyed/disabled three Iranian tankers after an IRGC missile attack on a US carrier group; Iran has threatened a "more painful" response. This is the single largest source of tail risk for markets this week.

Strait of Hormuz disruption: Transit volumes remain well below pre-conflict levels, sustaining upward pressure on oil and freight rates and keeping shipping insurance/risk premia elevated.

Fed independence questions: Warsh's confirmation and hawkish tone continue to be read alongside broader questions about the political backdrop for monetary policy heading into the 15-16 September FOMC.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

1. US-Iran tanker strikes

Weekend escalation is the dominant risk driver; any further retaliation would hit risk assets and spike oil intraday.

2. US markets closed (Labor Day)

Thinner liquidity and no US cash reaction until Tuesday; European trading more headline-sensitive than usual.

3. Sentix miss

Eurozone investor confidence fell to -9.2; first concrete data point of the week, mildly negative for EUR-area growth narrative.

4. Brent near \$95-97/bbl

Sustained energy strength is the key swing factor for both equities (energy vs. consumers of oil) and rates.

5. Kospi +3.65% overnight

Asia broadly shrugging off the Iran headlines; Korea's outsized move worth tracking for risk-appetite read-through into Europe.

THIS WEEK'S TOP 5

1. US CPI (August), Thu/Fri

Last major data point before the FOMC; a hot print would further cement hike odds already near 60-65%.

2. ECB rate decision this week

Currently 2.25%/2.40% deposit/refi; decision comes against a backdrop of oil-driven inflation risk and weak Sentix data.

3. Inditex H1 results, Tue 9 Sep

Key read on European consumer resilience; JPMorgan has already lifted its target ahead of the print.

4. Iran conflict trajectory

Iran's threatened retaliation is the primary tail-risk event for the week; both de-escalation and further escalation are live scenarios.

5. Primary bond market reopening post-Labor Day

First full week of September is historically one of the heaviest EUR/USD IG issuance windows; watch for the pipeline to build once US desks are back Tuesday.

THIS MONTH'S TOP 5

1. FOMC decision, 15-16 September

Odds of a hike near 60-65% and rising; outcome will reset the rates and USD trajectory into Q4.

2. Iran war escalation path

Sustained Hormuz disruption keeps oil and shipping rates structurally elevated; a resolution would be a major deflationary/risk-on shock in the other direction.

3. European growth vs. tariff drag

Sentix's September reading flags export-sector pressure from the US tariff deal; watch for confirmation in PMIs and industrial production through the month.

4. Credit spread widening risk

Early signs of iTraxx/European credit widening tied to the Iran war; a sustained move would tighten primary market conditions into Q4 issuance.

5. Defense and shipping re-rating

Both sectors have delivered exceptional 2026 returns (defense +20%+ YTD, tanker shipping +120% YTD); sustainability of these moves is a key monthly watch item as conflict headlines evolve.

15. KEY TRENDS TO WATCH

1 DAY

Iran retaliation risk: Any confirmed follow-through on Iran's "more painful" response threat would be the single biggest intraday market mover.

Thin US-holiday liquidity: Reduced volumes and no US cash equities/bonds trading could exaggerate European moves on light headlines.

Oil above \$97 Brent: A push through \$100 would sharply intensify stagflation concerns; a pullback would be read as the conflict stabilising.

1 WEEK

US CPI (Aug), Thu/Fri: The last major input before the FOMC; consensus not yet confirmable via open sources this morning — check ahead of release.

ECB decision: Rate path commentary will be read directly against the oil-driven inflation risk and the weak Sentix print.

Inditex earnings (Tue): First significant read on European consumer health this month.

Primary market reopening: Watch for the first wave of EUR IG/SSA mandates once US desks return Tuesday.

1 MONTH

FOMC, 15-16 Sep: A hike would be the first since the current cycle turned; markets are already pricing a majority probability.

Iran conflict trajectory: The dominant macro tail risk for September; both energy prices and defense/shipping equity performance are directly tied to its evolution.

European growth data: PMIs and industrial production releases through the month will confirm or refute this morning's weak Sentix signal.

Credit market conditions: Early iTraxx widening signals bear watching for confirmation; a sustained move would be the first real test of EUR primary market resilience since the summer.

SOURCES USED

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- Investing.com, Inditex investor relations, ad-hoc-news.de — Inditex H1/Q2 2026 results date
- MarketScreener, Earnings Whispers, Kiplinger — European/US earnings calendar week of 7-11 Sep 2026

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